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Greater China Materials | Asia Pacific

China Steel and Iron Ore
Weekly Update

Key Takeaways

- Apparent consumption of long products increased 3.6% WoW, while that of flat products dipped 0.4% WoW.

Weekly output declined for long products and flat products; inventory fell at traders while remaining mostly flat at mills. Utilization rates dropped at electric arc furnaces (EAF).

Iron ore inventory slipped at mills: Operating rates rose along with daily output.

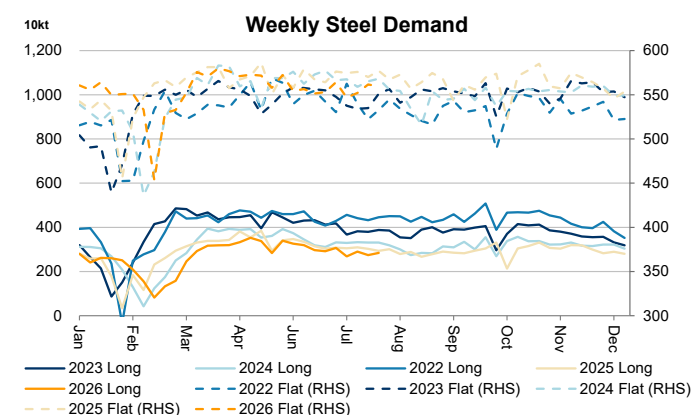
Iron ore shipments: Combined shipments from Australia and Brazil declined (2.29) Mt WoW for the period 6 June to 12 July. Shipments from Australia fell (1.19) Mt WoW. Shipments from Brazil dropped (1.09) Mt WoW.

Exhibit 1: Weekly data summary

	Steel			Iron Ore		
	Volume (kt) / rate (%)	WoW	YoY	Volume (kt) / rate (%)	WoW	
Inventory - Traders	11,689	-1.1%	26.8%	Inventory - Ports	156,510	-0.9%
Inventory - Mills	4,523	0.0%	6.3%	Inventory - Per Mill	216	-1.8%
Weekly Consumption - Long	2,843	3.6%	-3.1%	Operating rate	61.2%	0.9 ppts
Weekly Consumption - Flat	5,594	-0.4%	-3.1%	Average daily output	386.2	1.5%
Weekly Output - Long	2,748	-4.1%	-7.1%	Shipments - Australia		-1.19Mt
Weekly Output - Flat	5,510	-1.7%	-3.8%	Shipments - Brazil		-1.09Mt
Utilization - 247 mills	90.6%	(0.8 ppts)	(0.3 ppts)			
Utilization - EAF	57.0%	(4.5 ppts)	6.7 ppts			

Source: Mysteel, Morgan Stanley Research. Note: EAF = electric arc furnace.

Exhibit 2: Weekly steel demand



Source: Mysteel, Morgan Stanley Research

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GREATER CHINA MATERIALS

Asia Pacific

Industry View

Attractive

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Chris Jiang		
Anhui Honglu Steel Construction (002541.SZ)	U (12/16/2025)	Rmb20.44
CGN Mining Co Ltd (1164.HK)	O (01/18/2023)	HK\$2.29
Chengxin Lithium Group Co. Ltd. (002240.SZ)	E (12/16/2025)	Rmb30.17
GEM Co Ltd (002340.SZ)	U (04/20/2026)	Rmb6.31
Shenzhen Kedali Industry Co Ltd (002850.SZ)	O (08/21/2023)	Rmb190.56
Sinomine Resource Group Co Ltd (002738.SZ)	O (12/16/2025)	Rmb48.65
Yongxing Special Materials Technology (002756.SZ)	E (11/25/2022)	Rmb44.26
Zhejiang Huayou Cobalt Co Ltd (603799.SS)	O (10/08/2025)	Rmb38.82
Hannah Yang, CFA		
China Hongqiao Group (1378.HK)	O (09/15/2023)	HK\$22.86
Chuangxin Industries Holdings Ltd. (2788.HK)	O (03/19/2026)	HK\$16.40
Flat Glass Group Co Ltd (6865.HK)	O (07/30/2020)	HK\$6.38
Flat Glass Group Co Ltd (601865.SS)	O (07/30/2020)	Rmb9.25
MMG Ltd (1208.HK)	O (12/16/2024)	HK\$7.63

Shandong Pharmaceutical Glass Co. Ltd. (600529.SS)	U (04/20/2026)	Rmb18.99
Shenhua Coal and Power (000933.SZ)	O (09/02/2025)	Rmb24.59
Tianshan Aluminum (002532.SZ)	E (07/08/2026)	Rmb12.61
Xinyi Glass Holding Limited (0868.HK)	U (05/14/2024)	HK\$8.95
Zhongfu Shenying Carbon Fiber Co Ltd (688295.SS)	O (08/25/2023)	Rmb40.67
Rachel L Zhang		
Aluminum Corp. of China Ltd. (601600.SS)	O (11/30/2020)	Rmb8.68
Aluminum Corp. of China Ltd. (2600.HK)	O (11/30/2020)	HK\$7.87
Baoshan Iron & Steel (600019.SS)	O (01/16/2016)	Rmb5.68
Beijing New Building Materials (000786.SZ)	O (04/09/2024)	Rmb18.40
Beijing Oriental Yuhong Waterproof Techn (002271.SZ)	E (09/25/2024)	Rmb11.11
China Jushi (600176.SS)	O (12/22/2020)	Rmb47.71
China Lesso Group Holdings Ltd (2128.HK)	U (10/08/2025)	HK\$4.00
China Steel Corp. (2002.TW)	U (12/16/2025)	NT\$18.80
CMOC Group Ltd (3993.HK)	O (09/24/2019)	HK\$16.29
CMOC Group Ltd (603993.SS)	O (06/21/2024)	Rmb18.20
CNGR Advanced Material Co., Ltd. (300919.SZ)	E (01/12/2026)	Rmb37.84
CNGR Advanced Material Co., Ltd. (2579.HK)	O (01/12/2026)	HK\$24.78
FangDa Carbon New Material Co. Ltd. (600516.SS)	U (12/16/2024)	Rmb5.05
Ganfeng Lithium Co. Ltd. (002460.SZ)	O (04/20/2026)	Rmb49.97
Ganfeng Lithium Co. Ltd. (1772.HK)	O (12/16/2025)	HK\$39.84
Henan Liliang Diamond Co. Ltd (301071.SZ)	U (04/20/2026)	Rmb67.23
Jiangsu Dingsheng New Materials (603876.SS)	U (04/20/2026)	Rmb19.98
Jiangxi Copper (0358.HK)	O (10/08/2025)	HK\$32.32
Jiangxi Copper (600362.SS)	O (10/08/2025)	Rmb42.11
JL Mag Rare-Earth Co. Ltd (6680.HK)	O (04/23/2025)	HK\$16.82
JL Mag Rare-Earth Co. Ltd (300748.SZ)	O (04/23/2025)	Rmb26.61
Nine Dragons Paper (2689.HK)	E (01/04/2023)	HK\$7.47
Shandong Gold Mining Co. Ltd (600547.SS)	E (07/09/2026)	Rmb24.76
Shandong Gold Mining Co. Ltd (1787.HK)	E (07/09/2026)	HK\$18.27
Shandong Nanshan Aluminium Co. (600219.SS)	E (07/08/2026)	Rmb4.09
Tianqi Lithium Industries Inc. (9696.HK)	O (12/16/2025)	HK\$33.68
Tianqi Lithium Industries Inc. (002466.SZ)	O (04/20/2026)	Rmb49.34
Weixing New Building Materials (002372.SZ)	U (10/08/2025)	Rmb7.92
Zhaojin Mining Industry (1818.HK)	E (07/09/2026)	HK\$18.63
Zijin Gold International (2259.HK)	O (11/06/2025)	HK\$103.50
Zijin Mining Group (2899.HK)	O (11/06/2025)	HK\$30.86
Zijin Mining Group (601899.SS)	O (11/06/2025)	Rmb29.25

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.